pending conclusion of a bilateral ECTA. Indian diplomacy has so far failed to address the apprehensions of its neighbours and develop a level of mutual comfort to facilitate progress in many of these areas.

The Chinese challenge

Most of these constraints are structural to India's neighbourhood approach, and India will continue to cope with them depending upon a variety of contextual factors. What is of greater concern to India these days is China's assertive economic and strategic push into its neighbourhood, both immediate and extended, as mentioned earlier. China is driven by four considerations to consolidate and expand its presence in South Asia. One is to ensure stability and development in two of its major turbulent and restive peripheral regions, Tibet and Xinjiang. Both these regions border South Asian countries with which China must have a dependable understanding and rapport. Second, South Asia constitutes the world's most promising and potentially attractive market, with a population of nearly 1.7 billion, a youthful demographic profile, and impressive economic growth potential. This will help China to beneficially engage its excess infrastructure and other capacities to sustain its growth momentum. South Asian countries like Pakistan, Sri Lanka, Bangladesh, and even Myanmar are seen by China as alternative routes for its Indian Ocean trade and cushions for softening its so-called Malacca dilemma. Last, China needs the support of its Asian neigh-bours to ensure that an adversarial power like the United States does not mobilise them in containing China in Asia.